

BLOCK 5

INTERNATIONAL FINANCE

Unit 11	International Financial Markets and Instruments
Unit 12	Financial and Currency Crises

BLOCK INTRODUCTION

This block is on “**INTERNATIONAL FINANCE**”. It has two units i.e., Unit 11 - **International Financial Markets and Instruments** and Unit 12 - **Financial and Currency Crises**.

Unit 11 provides an idea of globalization of financial markets and then presents the concept of International financial markets. The financial instruments available in the international financial markets are also discussed. The learner also learns about the types and importance of international financial markets. Various instruments (financial as well as debt instruments) which help smooth functioning of the international financial markets are also highlighted.

Unit 12 provides an understanding of global financial crisis of the year 2008. To understand this crisis better, some of the most devastating financial crises in history are also presented which will add to the understanding of the unfolding of the 2008 crisis. It becomes imperative for the learner to understand the impact and effect of such a global crisis on the macroeconomy. The unit completes by presenting the initial policy responses in terms of monetary and fiscal policies, to combat this global crisis.

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UNIT 11 INTERNATIONAL FINANCIAL MARKETS AND INSTRUMENTS *

Structure

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11.0 OBJECTIVES

After studying this Unit, you should be able to:

- Explain the concepts of International Financial Markets and Instruments;
- Indicate the importance of International Financial Markets;
- Identify the participants in International Financial Markets;
- Distinguish between various instruments of International Financial Markets;
- Describe various International Financial Instruments used for raising finance;
and
- Analyse different types of foreign exchange risk.

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11.1 INTRODUCTION

Even the most cursory glance at the international economic trends since the 1980s shows revolutionary changes in world financial markets. The interaction of several factors has produced huge capital flows across national boundaries. Along with this, the structure and operation of global financial markets have been transformed.

Financial markets describe where buyers and sellers participate in the trade of assets such as equities, bonds, currencies and derivatives. In such markets, companies get capital to expand, as in the stock or bond markets, or hedge their risks, like the foreign exchange or commodities markets.

The immense growth and spread of international financial markets and because of their ups and downs affect the lives of people not only during times of crisis but also daily. With globalization, deregulation, liberalization, financial and technological innovation, the volume of financial transactions increased to astronomical figures.

The financial market is a highly complex system in which rules, individuals and institutions interact. This complexity increases even more in time and space, particularly in the case of international financial markets. This phenomenon is so pervasive that it created great interest among people in finance and fluctuations in financial markets.

Because of substantial international capital movements, policies and developments in other countries increasingly influence domestic economic performance. With this backdrop, this unit is devoted to the discussion of globalization of financial markets, concepts, functions and importance of international financial markets, instruments used for raising finance from various entities, and their description and analysis of foreign exchange risks.

11.2 GLOBALISATION OF FINANCIAL MARKETS

In the contemporary world, there has been globalisation of financial markets. In a global financial market, technological advances in payment, settlement and trading systems and financial information systems can be made instantaneously available to all market participants. In financial markets, globalisation opens access to borrowing, lending and investing worldwide. In addition, it plays a central role in disciplining policies. This trend is very much evident from the following development (Otmars, 2000):

- i) There has been a steady increase in cross-border financial flows around the world. Because various banks and institutional investors have expanded their activities geographically. In this process, they acted as intermediaries to channel funds from lenders to borrowers across national borders.

- ii) The mature securities markets have gained cross-border orientation as they design and offer securities which attract international investors.
- iii) Since the 1980s, most countries have been following the policy of liberalization, which led to the progressive dismantling of controls on cross-border financial flows.
- iv) Throughout the world, borrowers and lenders find a wide range of funds available for financing deficits and managing surpluses.
- v) Both technological advances and financial innovations are important contributing factors as information systems have become able to compute and store huge amount of data more rapidly.
- vi) More reliable data exchange protocols have made it possible to connect computing machines in more efficient ways. This development facilitated cross-border financial deals both easier and more secure. Besides, it removes the distance problem created by geography or other factors.
- vii) There has been innovation of financial instruments like "derivative" which has made it possible for borrowers and lenders to customise their risk exposures as well as adjust them over time. This is particularly important for international financial markets where information asymmetries exist.

Globalisation is a process that is not yet finalised and will lead to a world in which countries and economic areas become increasingly interdependent. As such, Otmar (2000) remarked that "the globalisation of financial markets is better seen as a process rather than as a fixed state of affairs". It is also important to note that global financial markets are not free from crises as is evident from 1997 East Asian crises, US crisis of 2008 etc. There have been numerous occurrences of financial crises. Some of these financial crises exerted disruptive and protracted effects on the economy locally and globally. As a result, economic policymakers and market participants have devoted considerable attention to the issue of how best to avoid financial crises.

Similarly, very limited room for maneuver is available for economic policy pursuing specific objectives at the national level. This calls for overhauling the architecture of the international financial system.

11.3 CONCEPT OF INTERNATIONAL FINANCIAL MARKETS

The international financial markets consist of sources of finance and uses for finance in several different countries. Each of these is a capital market on its own. The international financial markets are markets where different entities (individuals, financial and non-financial institutions) buy and sell foreign assets and assets are traded between agents in surplus and agents in deficit. The financial market comprises the markets for stock market, bond market, currency

market, derivatives market, commodity market and money market. International institutions lay down rules for the conduct of financial markets. Borrowers/Issuers, Lenders/Investors and Intermediaries are the major players of the international markets. Borrowers/Issuers are corporates, banks, financial institutions, government and quasigovernment bodies and supranational organizations, which need Forex funds for various reasons. The institutions which work in financial markets have different aims and functions like Central Banks and Ministries of Economy and Finance of different countries.

The dynamism and depth of the foreign exchange market depend on the behaviour pattern of the players. Modern technology has provided full information to players and how they decipher the market information and use; their response determines the course of market movement.

Financial market does not refer to a physical location. Market participants are linked by formal trading rules and communication networks for originating and trading financial securities link market participants. In an environment of deregulated and liberalized financial markets, international capital movements have been driven mainly by economic fundamentals. The macroeconomic conditions of various countries and their trade, monetary and fiscal policies are important variants. Interactions among markets have been facilitated by technological innovations, which provided market participants with opportunities to diversify, hedge, and increase profits on their investments, thereby promoting the use of new financial products and instruments.

Features of International Financial Markets: Let us consider some of the important foreign exchange market features. They are as under:

- i) In a business setting, there is a fundamental difference between making a payment in the domestic market and making a payment abroad. In a domestic transaction, companies use only one currency. In a foreign transaction, companies can use two or more currencies.
- ii) This market is the largest asset class in the world because of its enormous volume of trading, representing high liquidity.
- iii) It spans over a large geographical area.
- iv) It is around the clock markets as it has continuous operation: 24 hours a day throughout the week (Monday to Friday at each centre). i.e., trading from 22:00 GMT on Sunday (Sydney) until 22:00 GMT Friday (New York).
- v) The variety of factors is responsible for fluctuations in exchange rates.
- vi) As compared to other financial markets of fixed income instruments, this market operates on the low margins of relative profit.
- vii) Important foreign exchange trading centers are located in Hong Kong, Singapore, Paris and Frankfurt, amongst others, while the biggest three are New York, Tokyo and London, of which London is the largest.

Cross-border transactions occur through an exchange of currencies between buyers and sellers. The tendency of each country to prefer to use its own unique currency complicates international business transactions. There are around 175 currencies in use around the world. International business would be impossible without foreign exchange and the foreign exchange market. The foreign exchange market refers to the organizational setting within which businesses, governments, and banks buy and sell foreign currencies and other debt instruments. Only a small fraction of daily transactions in foreign exchange actually involve the trading of currency. Most foreign-exchange transactions involve the transfer of electronic balances between commercial banks or foreign exchange dealers. The foreign exchange market has two major segments: the over-the-counter market (OTC) and the exchange-traded market. The OTC market is composed of commercial banks, investment banks and other financial institutions. The exchange-traded markets are composed of securities exchanges, such as London International Financial Futures and Options Exchange (LIFFE), where certain types of foreign-exchange instruments, such as exchange-traded futures and options, are traded.

The foreign exchange market serves two main functions:

- i) To convert the currency of one country into the currency of another.
- ii) To provide some insurance against foreign exchange risk, which means the adverse consequences of unpredictable changes in exchange rates.

A given foreign-exchange market operates at three levels:

- i) in transactions between commercial banks and their commercial customers, who are the ultimate demanders and suppliers of foreign exchange;
- ii) in the domestic interbank market conducted through brokers; and
- iii) in active trading in foreign exchange with banks overseas.

These foreign exchange markets are very important for international businesses. There are four main uses of foreign exchange markets in that sense:

- i) The payments a company receives for its exports, the income it receives from foreign investments or the income it receives from licensing agreements with foreign firms may be in foreign currencies.
- ii) Businesses use foreign exchange markets when they are required to pay a foreign company for its products or services in its country's currency.
- iii) When businesses have spare cash that they wish to invest for short terms in money markets.
- iv) Currency speculation is another use of foreign exchange markets. Currency speculation typically involves the short-term movement of funds from one currency to another in the hopes of profiting from shifts in exchange rates.

In this market currencies of various countries are bought and sold against each other. This is also called foreign currency market where an over-the-counter trade takes place. This market has two wings wholesale market and retail market. In retail market travelers and tourists exchange one currency for another in the form of currency notes or travelers' cheques.

11.3.1 Concept of International Financial Instruments

Foreign exchange instruments are financial instruments that are represented on the foreign market. It is a real or virtual document representing a legal agreement involving some sort of monetary value. Foreign exchange instruments primarily consist of currency agreements and derivatives. Financial instruments can be generally classified as:

- i) Equity based, representing ownership of the asset,
- ii) Debt based, representing a loan made by an investor, to the owner of the asset, and
- iii) Foreign exchange instruments are a unique type of instrument

Different subcategories of each instrument type exist. Financial instruments can be considered as easily tradable packages of capital, each having unique characteristics and structure. The wide array of financial instruments in the contemporary marketplace allows for the efficient flow of capital amongst the world's investors. Any financial instrument has three major functions:

- i) Financial instruments act as a means of payment
- ii) Financial instruments act as stores of value. They generate increases in wealth that are larger than from holding money and can be used to transfer purchasing power into the future.
- iii) Financial instruments allow for the transfer of risk. Futures and insurance contracts enable a person to transfer risk to another. Information about financial instruments is important to users, as it provides insight into the risks related to financial assets and financial liabilities, including the exposure to risks arising from these to the entity and how they are managed.

Check Your Progress 1

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

- 1) Write about globalization of financial markets in around 100 words.

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